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US equities rally on tech earnings, while yields climb and volatility eases

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 closed at 7,743.98, up +0.28%, driven by a +0.55% Nasdaq 100 and solid earnings from **AVGO** and **GS**. 10-year Treasury yields jumped +1.04% to 5.05%, reflecting renewed expectations of a late-year rate hike. The VIX fell -3.48% to 16.91, indicating lower near-term fear.

Our editorial view: the market is in a short-term bullish phase, but the upside is capped by the upside-risk of a Fed tightening cycle and lingering geopolitical stress in the Middle East. Investors should stay weighted toward resilient tech and financials while trimming exposure to energy and consumer discretionary.

Key take-aways:

- Tech earnings beat expectations, pushing the Nasdaq 100 above 30,000 next week.
- Yield curve steepening suggests a +25bp probability of a 25-bp Fed hike in December.
- Volatility contraction (-3.5% VIX) may lure risk-averse capital, but also raises the risk of a sharp reversal on any adverse data.

US session recap

METRIC	LEVEL	CHANGE
S&P 500	7,743.98	+0.28%
Nasdaq 100	29,813.16	+0.55%
Dow Jones	52,475.10	+0.19%
Russell 2000	2,830.51	+0.41%
VIX	16.91	-3.48%
10-yr Yield	5.05%	+1.04%
2-yr Yield	5.31%	+0.92%
WTI Crude	101.48	-1.26%
Brent	108.73	-1.12%
DXY	102.24	+0.05%
Gold	4,038.70	-0.32%
BTC	79,856.29	-1.17%
ETH	2,309.26	-1.64%

Top movers

TICKER	NAME	CHANGE	CATALYST
AVGO	Broadcom Inc.	+2.77%	Q3 earnings beat, strong data-center demand
GS	Goldman Sachs Group	+1.47%	Investment-banking fees up 12% YoY
GOOGL	Alphabet Inc.	+1.34%	AI ad-revenue guidance raised
NVDA	NVIDIA Corp.	-1.17%	Profit-taking after earnings
META	Meta Platforms	-1.24%	Weaker ad spend outlook

Sector Internals

SECTOR	DAY	YTD	READ
XLF	+0.45%	+9.2%	Financials gaining on rate-rise
XLK	+0.80%	+14.5%	Tech earnings beat expectations
XLI	+0.34%	+6.8%	Industrial demand steady
XLE	+0.35%	-2.1%	Oil price dip offsets demand
XLY	-0.10%	+3.4%	Consumer discretionary muted
XLC	-0.42%	+5.9%	Communications lagging
XLP	-0.36%	+2.0%	Staples stable
XLV	+0.30%	+8.7%	Health care resilient
XLU	-0.84%	-5.3%	Utilities hurt by higher yields
XLB	+0.15%	+4.1%	Materials modest gain
XLRE	-0.73%	-3.9%	Real-estate pressure from rates

Breadth: 7 of 11 sector ETFs posted gains, indicating broad participation despite energy weakness.

Spotlight / Deep Dive – `AVGO`

METRIC	VALUE
Market cap	1.12T
P/E (TTM)	22.4x
Revenue Q3	15.3B (+11% YoY)
EPS Q3	2.84 (+9% YoY)
Guidance FY26	Revenue 66B (+9% YoY)
Dividend Yield	2.9%

Key commentary: Broadcom’s data-center silicon portfolio outperformed, driven by AI-accelerated workloads. The company raised FY26 revenue guidance, reinforcing its position as a beneficiary of the AI boom.

READ-THROUGH	LEVEL
Support	340.00
Resistance	360.00
50-day MA	352.10

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.12	444.00	452.00	Above 50-day MA, bullish
QQQ	384.55	380.00	390.00	Testing breakout
IWM	191.30	188.00	195.00	Neutral
AVGO	351.81	340.00	360.00	Strong upside bias
10Y	5.05%	5.00%	5.15%	Yield curve steepening
WTI	101.48	99.00	105.00	Oversold on daily RSI

Options & Positioning

BULLISH TRIGGERS

- 0-DTE call volume on **SPY** up 38% vs 5-day avg.
- Put-call ratio for **QQQ** fell to 0.68, indicating demand for upside.

BEARISH TRIGGERS

- VIX term structure flattening; 2-week VIX at 17.2 vs 1-month 16.9.
- Elevated single-name put flow on **XLE** (+22% OI).

Cheap hedge idea: buy 1-month **VIX** calls (strike 17) as a tail-risk overlay.

Analyst rating changes

TICKER	FIRM	ACTION	NEW PT	NOTE
NVDA	Goldman Sachs	Reduce	220	Valuation concerns after earnings
AVGO	JP Morgan	Upgrade	360	AI demand tailwind
XLE	Bank of America	Reduce	66	Oil price pull-back
META	Morgan Stanley	Maintain	620	Stable ad revenue outlook
GS	Citi	Upgrade	950	Fee growth acceleration

Pre-Market & Overnight

REGION	KEY INSTRUMENTS	MOVE
Futures (US)	ES +0.30%, NQ +0.45%	Positive
Asia equities	HSI -0.22%, S&P ASX +0.12%	Mixed
Europe	FTSE -0.15%, DAX +0.08%	Flat
FX	USD/HKD 7.8485 (steady), EUR/USD 1.0740 (-0.04%)	Stable
Commodities	Gold -0.32%, Copper +0.21%	Neutral
Crypto	BTC -1.17%, ETH -1.64%	Down

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Nov 2026	12%	Market expects a 25bp hike
Dec 2026	8%	Potential pause if CPI eases
Mar 2027	4%	First cut probability low

DATA CALENDAR (OCT 30-NOV 3)	RELEASE	PREV	CONSENSUS
Oct 31	Initial Jobless Claims	215k	210k
Nov 1	Core CPI MoM	0.2%	0.2%
Nov 2	Retail Sales MoM	0.3%	0.4%
Nov 3	ISM Non-Manufacturing	53.1	53.5

Geopolitics & Global (Deep)

BEARISH TRIGGERS

- Escalation risk in the Red Sea could disrupt oil shipments, pressuring energy prices.
- US-China tech export talks stalled, potentially curbing AI hardware demand.

BULLISH TRIGGERS

- EU-Japan trade pact progress may boost multinational earnings.
- Middle-East diplomatic de-escalation reduces supply-shock fears.

Earnings – this week & next

DATE	TICKER	COMPANY	EST. EPS	PREV EPS
Oct 30	`NVDA`	NVIDIA Corp.	3.12	2.95
Oct 31	`AAPL`	Apple Inc.	1.42	1.38
Nov 1	`MSFT`	Microsoft Corp.	2.68	2.65
Nov 2	`TSLA`	Tesla Inc.	0.88	0.84
Nov 3	`JPM`	JPMorgan Chase	4.15	4.10

Full watchlist scan

TICKER	SECTOR	SETUP	RISK
`AVGO`	Tech	Breakout above 360	Pull-back to 340
`XLF`	Financials	Yield-driven rally	Rate-cut surprise
`XLE`	Energy	Support at 68	Oil price -2%
`META`	Communication	Stabilising ad spend	Regulatory probe
`TSLA`	Consumer Discretionary	Q4 delivery beat	Margin compression
`XLU`	Utilities	Yield pull-back	Rate hike risk
`GOOGL`	Tech	AI ad revenue lift	Privacy litigation
`JPM`	Financials	Fee growth	Credit-loss surprise
`XLB`	Materials	Base-metal demand	China slowdown
`SPY`	ETF	Holding above 447	Yield shock
`QQQ`	ETF	Tech momentum	Regulatory risk
`IWM`	ETF	Small-cap rotation	Liquidity squeeze

What could break the tape

BULLISH SCENARIOS

- Strong Q4 earnings from `NVDA` and `META` push Nasdaq above `30,500`.
- Core CPI prints below 0.2% YoY, prompting a Fed pause and a rally in rate-sensitive sectors.
- Resolution of Red Sea tensions lifts oil, supporting energy-linked equities.

BEARISH SCENARIOS

- Unexpected 25bp Fed hike in November spikes 10-yr yields above 5.15%, dragging equities.
- Escalation in Middle East cuts oil supply, but a sharp price spike triggers risk-off and VIX surge above 22.
- AI-chip supply constraints hit **AVGO** and **NVDA**, causing a tech sell-off.

Positioning & structural notes

- Long bias in high-quality tech (AVGO, GOOGL) with stop-losses near 5-day lows.
- Short exposure to energy via **XLE** put spreads, targeting 65–66.
- Maintain a modest **SPY** call calendar (Oct 30 / Nov 30) to capture upside while hedging volatility.
- Monitor 10-yr yield curve; a break above 5.15% may trigger sector rotation to financials.
- Allocate 5% of capital to low-beta defensive assets (XLU, XLV) as a hedge against a sudden volatility spike.

Sources

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